

also been in touch with the EPFO to clarify the processes and ascertain when the higher pension will be implemented, and the retirement fund manager has also been working with them to explain the procedures.

What was the genesis of the issue? For that, one needs to go back in time.

E

EPS, LAUNCHED IN 1995, is under the EPFO that runs the provident fund scheme for the formal sector. In establishments that have 20 employees or more, both the employer and the employee are mandated to pay 12% of the basic salary capped at ₹15,000 per month to the EPF. Of the 12% of the employer's share, 8.33% is diverted to fund the EPS. The centre also contributes 1.16% of the monthly wage. A member of the EPS qualifies for pension after 10 years of service or on attaining the age of 58 or 60 years. The pension to be paid is based on a formula of the period of service and the pensionable salary. But a minimum monthly pension of ₹1,000 is guaranteed to all eligible members. By the end of FY23, the EPS had 7.56 million pensioners and it had disbursed ₹21,796.85 crore, including pension and withdrawal benefits, that fiscal.

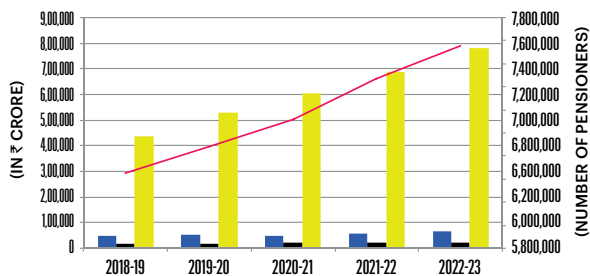
The scheme was amended in September 2014 with what experts believe was an aim to expand the coverage and ensure higher contributions, as it was running at a projected deficit. The amendment changed the cap on monthly salary to ₹15,000 from the earlier ₹6,500, and allowed members along with their employers to contribute 8.33% of their actual salary (if it exceeded the cap) towards EPS. It gave all EPS members, as on September 1, 2014, six months to opt for the amended scheme. Employees, who opted for the amended scheme, were also required to contribute 1.16% of the monthly salary exceeding ₹15,000 towards the pension fund.

The amendments were contested across states by members as there were many who could not opt for the new benefits. The Supreme Court in 2022 upheld the 2014 amendments, enabling subscribers to opt for higher pension, but struck down the member contribution of 1.16%. The apex court also gave four more months to eligible subscribers to opt for higher pension.

Since then, much water has passed under the bridge. The EPFO has issued a number of detailed circulars advising subscribers on how to apply for the higher pension and even extended deadlines several times to help them procure the required documentation. It has also released

RISING NUMBERS

- The EPS had 7.56 million pensioners at the end of FY23
- The accumulated corpus of the EPFO has risen by nearly 98% since 2017-18



- CONTRIBUTIONS RECEIVED (LHS)
- PENSION & WITHDRAWAL BENEFITS DISBURSED (LHS)
- CORPUS AT THE END OF FISCAL (LHS)
- TOTAL NUMBER OF PENSIONERS (RHS)

NOTE PROVISIONAL DATA FOR 2022-23 FOR CONTRIBUTION RECEIVED AND CORPUS AT THE END OF FINANCIAL YEAR

SOURCE EPFO DRAFT ANNUAL REPORT



“Officers are overburdened, and the existing staff does not have the time to scrutinise so many applications. A separate division is required for this”

HARBHAJAN SINGH SIDHU
GENERAL SECRETARY, HIND MAZDOOR SABHA;
MEMBER, CBT



“We are holding multiple generations of PF members’ money and all are stakeholders. We need to protect the EPS to protect all their interests”

SOUGATA ROY CHOUDHURY
EXECUTIVE DIRECTOR, CII;
MEMBER, CBT